

Customer Segmentation using RFM Model

AVG RFM SCORE 9.1 Across 100 customers	TOTAL REVENUE INR 7,865,039 7 Loyalty Tiers	SLA-EQUIVALENT: CHAMPIONS 11 High-Value Customers
AVG RECENCY (DAYS) 145 Days since last purchase	AT-RISK CUSTOMERS 10 Needs re-engagement	TOTAL SEGMENTS 6 RFM Segment Types

Report Prepared: June, 2026 | Data Period: April 2024 – March 2025 | Customers Analysed: 100

1 EXECUTIVE SUMMARY

This report presents the findings of a comprehensive **Customer Segmentation analysis** conducted using the **RFM (Recency, Frequency, Monetary)** framework across 100 customers observed during the financial year April 2024 – March 2025. The analysis identifies six distinct customer segments ranging from high-value Champions to disengaged Lost Customers, enabling precision-targeted marketing and retention strategies.

Key findings indicate that Champions and Loyal Customers together contribute **64%** of total revenue despite representing only **36%** of the customer base. **10 at-risk customers** present an immediate retention opportunity, while **10 lost customers** can be targeted with win-back campaigns. A structured 6-point improvement roadmap has been developed to address these findings.

2 KEY FINDINGS

- Finding 1: Average RFM Score of 9.1 indicates moderate overall engagement across the customer base
- Finding 2: Champions (11 customers) generate disproportionately high revenue — critical retention priority
- Finding 3: At-Risk segment (10 customers) shows declining recency and frequency — immediate intervention needed
- Finding 4: Lost Customers (10 customers) represent recoverable revenue through targeted win-back campaigns
- Finding 5: 26 Potential Loyalists can be converted to Loyal Customers with targeted nurturing

The table below summarises performance across all six RFM segments:

Segment	Customers	Revenue (INR)	Rev %	Avg RFM	Avg Recency (Days)	Avg Orders
Champions	11	INR 1,932,448	24.6%	13.5	54	28.5
Loyal Customers	25	INR 3,115,701	39.6%	11.4	114	27.1
Potential Loyalists	26	INR 1,991,535	25.3%	9.5	168	23.3
New Customers	18	INR 616,256	7.8%	7.4	160	16.2
At-Risk	10	INR 146,460	1.9%	5.7	163	8.5
Lost Customers	10	INR 62,639	0.8%	3.6	213	2.4
TOTAL	100	INR 7,865,039	100%	9.1	—	—

3IMPROVEMENT RECOMMENDATIONS

The following recommendations are prioritised by business impact and feasibility, derived directly from RFM score analysis and customer-level segmentation insights. Each recommendation is aligned to a specific customer segment.

#	Segment	Area	Priority	Recommendation	Expected Benefit	Timeline
1	Champions	CRM	HIGH	Implement VIP retention programme with personalised rewards, early product access, and dedicated account management	Revenue +15%; Retention +20%	Q1 2025
2	At-Risk	Marketing	HIGH	Launch 20% win-back coupon + SMS re-engagement campaign targeting declining-frequency customers	Re-activate 40–50%	Q1 2025
3	Loyal Customers	CRM	HIGH	Deploy referral programme with cashback rewards; double loyalty points on top categories	Organic growth +15%	Q2 2025
4	Potential Loyalists	Marketing	MEDIUM	Personalised nurturing — 10% discount next 3 purchases + category-specific recommendations	Convert 60% to Loyal	Q2 2025
5	New Customers	CX	MEDIUM	7-day onboarding email series with first-purchase incentive and product education content	30-day repeat rate +25%	Q2 2025
6	Lost Customers	Marketing	LOW	Social media awareness campaign + comeback offer + new product launch invitations	Win-back 25–30%	Q3 2025

Segment	Avg RFM Score	Avg Recency (Days)	Avg Orders	Revenue (INR)	Rev Share %	Loyalty Opportunity
Champions	13.5	54	28.5	INR 1,932,448	24.6%	VIP & Upsell
Loyal Customers	11.4	114	27.1	INR 3,115,701	39.6%	Referral Program
Potential Loyalists	9.5	168	23.3	INR 1,991,535	25.3%	Nurture & Convert
New Customers	7.4	160	16.2	INR 616,256	7.8%	Onboard & Retain
At-Risk	5.7	163	8.5	INR 146,460	1.9%	Re-engagement
Lost Customers	3.6	213	2.4	INR 62,639	0.8%	Win-Back Campaign

5 METHODOLOGY

Customer Data	Gathered 100 customer transaction records covering 12 months (April 2024 –
RFM Metric Calculation	Recency: days since last purchase vs. analysis date (31-Mar-2025). Frequency: total count of purchase transactions. Monetary: aggregate purchase value per customer.
Customer	Each metric scored on a 1–5 scale using quartile-based thresholds. Score 5 = best
Segment Creation	Six segments defined by total RFM score bands: Champions (13–15), Loyal (11–12), Potential Loyalists (9–10), New Customers (7–8), At-Risk (5–6), Lost (3–4).
Revenue Attribution	Total purchase amount attributed per segment to identify revenue concentration and calculate segment-wise contribution percentages.
Recommendation Development	Recommendations cross-referenced with segment profiles, RFM behaviour patterns, and industry-standard CRM engagement strategies

6 IMPLEMENTATION ROADMAP

Phase	Actions	Target Segments	Timeline	Expected Outcome
Phase 1 Quick Wins	Deploy VIP alerts for Champions Launch At-Risk re-engagement coupons Set up loyalty programme	Champions, At-Risk, Loyal	Q1 2025	Retention +15% At-Risk recovery +20%
Phase 2 Nurturing	Onboarding journey for New Customers Nurturing campaign for Potential Loyalists Referral programme rollout	New Customers, Potential Loyalists	Q2 2025	Conversion rate +25% Repeat purchases +15%
Phase 3 Win-Back	Social media win-back for Lost Customers Personalised comeback offer Product launch invitations	Lost Customers	Q3 2025	Recovery rate 25–30% Revenue recovery +10%
Phase 4 Continuous Improvement	Monthly RFM recalculation Segment migration tracking CLV prediction integration	All Segments	Q4 2025 Ongoing	Sustained 80%+ engagement 90%+ retention rate

7 CONCLUSION

The Customer Segmentation using RFM Model analysis reveals a significant opportunity for targeted revenue growth and customer retention across the organisation. By systematically addressing the 6 identified priority areas — spanning Champions retention, At-Risk re-engagement, Loyal customer referral activation, and Lost customer win-back — the organisation can realistically achieve:

- **RFM-driven customer engagement:** From avg score 9.1 to 11+ within 12 months
- **Champion segment revenue share:** Protect 25% revenue contribution through VIP programme
- **At-Risk recovery:** Re-activate 10 at-risk customers — potential revenue INR 146,460
- **Loyalty programme activation:** 25 loyal customers ready for referral-driven growth
- **Customer base standardisation:** Documented segment-based engagement playbooks enabling scalable CRM

This report and the accompanying Excel dashboard provide a data-backed foundation for CRM and marketing decision-making, serving as the starting point for a structured Customer Excellence programme.